

26VECV00717 26VECV00717

County: los-angeles

Division: Civil Law and Motion

Department: T

Hearing date: 2026-07-15

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Case Number: 26VECV00717 Hearing Date: July 15, 2026 Dept: T

26VECV00717 METABO V JOSEPH

[TENTATIVE] ORDER: Defendant Morales Joseph's

Demurrer to the Complaint is SUSTAINED in PART and OVERRULED in part. It is sustained with 20 days leave to amend as to the causes of action for breach of contract and breach of the implied covenant of good faith fair dealing. It is otherwise overruled. Leave to amend is limited to correcting the deficiencies in this order, and not to add new parties or new causes of action.

Defendant Morales Joseph's Motion to Strike is DENIED.

Defendant Morales Joseph's Request for Judicial Notice filed with the Demurrer is GRANTED.

Introduction

Defendant Morales Joseph (Defendant) demurred and moved to strike Plaintiff Metabo Group LLC's (Plaintiff) Complaint. Defendant placed into issue the causes of action (COA) for: (1) fraud/intentional misrepresentation, (2) fraudulent concealment, (3) negligent misrepresentation, (6) breach of contract, (7) breach of the implied covenant of good faith and faith dealing, and (8) violation of Civil Code section 1102 et seq. Defendant seeks to strike the several forms of relief, including Plaintiff's requests for restitution and disgorgement, costs of repair and compliance, loss of rental income, attorney's fees, and equitable relief. Plaintiff opposes.

Discussion

Demurrer

Abatement

Defendant first argues that the complaint must be abated under Code of Civil Procedure section 430.10(c) because the entire matter of the complaint arises from the same transaction involving the same parties in Case Number 25VECV07139, filed by Lidia Mendoza and Pedro Mendoza against Metabo Group LLC and Joseph Morales. The defendant must show that the parties, cause of action, and issues are identical, and the same evidence would support the judgment in each case. (California Union Ins. Co., *supra*, 105 Cal.App.3d at 108.) Plea in abatement per section 430.10(c) must be between the same parties. (Plant Insulation Co. v. Fibreboard Corp. (1990) 224 Cal.App.3d 781, 787.) The parties are not the same in the two matters and the causes of action and issues are not identical. The demurrer on this ground is overruled.

[The Court notes that if the cases should be related, then a Notice of Related Cases should be filed under both case numbers, and the judge with the lower case number will rule on whether the cases are related. The Court also notes the other case is already set for trial and METABO is in default on the other case.

Sixth and Seventh Causes of Action -- Breach of Contract and Breach of the Covenant of Good Faith and Fair Dealing

Next, as to the COA for breach of contract, Defendant contends that the complaint fails to provide a copy of the contract and fails to identify the parties, the terms of the contract, the obligations of each party, the timeline for performance, the amount of damages, and the date of the alleged breach. "A written contract may be pleaded by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect." (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489.) "In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant terms." (Id.) While the contract does not need to be attached, the Court agrees that the terms of the contract have not been pleaded. However, Defendant has not provided any authority that Plaintiff must plead the other details it argues are missing. Further, as Defendant

notes, it cannot ascertain “from the pleading whether the contract is written, is oral, or is implied by conduct.” (Code of Civ. Proc. Sec. 430.10(g)). Thus, the demurrer to the COA for breach of contract is sustained with 20 days leave to amend.

Also, as Defendant points out, without a cause of action for breach of contract, there is no cause of action for breach of the implied covenant of good faith and fair dealing as a matter of law. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, fn 10.) The demurrer to the COA for breach of the implied covenant of good faith and fair dealing is also sustained with leave to amend.

Uncertainty

Defendant next argues that the complaint and each of the causes of action are ambiguous and uncertain because the caption, cover sheet, and body of complaint are all incongruent and the number of causes of action and type do not match. Demurrers for uncertainty “are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (Mahan v. Charles W. Chan Ins. Agency, Inc. (2017) 14 Cal.App.5th 841, 848, fn. 3.) The body of the complaint makes clear what the causes of action at issue are, to which Defendant can reasonably respond. To the extent Defendant argues Plaintiff fails to plead each element, then a demurrer to the cause of action for that reason is the proper recourse. The demurrer for uncertainty is overruled.

First and Third Causes of Action -- Fraud and Negligent Misrepresentation

Defendant also argues that the COAs for fraud and negligent misrepresentation are not plead with specificity, and that Plaintiff fails to plead the element of reliance.

The complaint alleges that Defendant Morales owned two residential structures that Plaintiff purchased. Plaintiff alleges that the property had a history of code enforcement activity, including findings of unpermitted construction, unsafe electrical conditions, and other violations affecting legality and habitability. Plaintiff claims that Defendant Morales knew or reasonably should have known of these conditions based on ownership, control, prior inspections, and enforcement activity and that he conveyed information

to Plaintiff that minimized, obscured, or omitted material defects and compliance issues. Plaintiff alleges it relied on these representations and omissions in proceeding with the purchase.

In a transaction for the purchase of real property, material facts are facts “affecting the value or desirability of the property which are known or accessible only to [the seller] and . . . not known to, or within the reach of the diligent attention and observation of the buyer.” (Lingsch v. Savage (1963) 213 Cal.App.2d 729, 735.) Further, “the requirement of specificity is relaxed when the allegations indicate that ‘the defendant must necessarily possess full information concerning the facts of the controversy.’” (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158 [quoting Bradley v. Hartford Acc. & Indem. Co. (1973) 30 Cal.App.3d 818, 825.]

Based on these principles, the Court finds that the complaint alleges the causes of action with the requisite specificity. Further, Plaintiff has sufficiently pled it relied on the representations in taking action on the purchase agreement. Thus, the demurrer is overruled on these grounds.

Second Cause of Action – Fraudulent Concealment

Next, Defendant contends that the economic loss rule bars the fraudulent concealment COA. The economic loss rule bars tort claims where the harm alleged falls within the reasonable contemplation of the parties at the time of contracting. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1.) According to Plaintiff, Defendant argues, it “incurred damages including remediation and compliance costs, loss of rental income, professional fees, and diminution in property value.” (Compl., par. 29.) However, Defendant’s alleged concealment of code violations and property defects exposed Plaintiff to compliance costs (as alleged), and third-party claims from tenants (as shown by Defendant’s request for judicial notice of Plaintiff’s tenants’ lawsuit against Plaintiff for alleged habitability issues of the property). These are harms that go beyond the reasonable contemplation of the parties when they entered into the purchase agreement. The demurrer is overruled on this ground.

Eighth Cause of Action – Civil Code section 1102 et seq.

Lastly, Defendant demurs to the COA under Civil Code section 1102 et seq., arguing that the complaint makes no reference to a specific section of the Civil Code or what was not disclosed or any dates regarding the violations. The pleading alleges a residential transfer, that Defendant owned the property and knew or should have known its history of code enforcement activity, unpermitted construction, unsafe electrical conditions and other violations affecting habitability, and that he failed to disclose these issues. (Compl., pars. 8-10, 18-20, 24-29, 58-60.) Defendant fails to show any more is required. The demurrer to this cause of action is overruled.

Accordingly, the demurrer to the complaint is SUSTAINED in PART and OVERRULED in part. It is sustained with 20 days leave to amend as to the causes of action for breach of contract and breach of the implied covenant of good faith fair dealing. It is otherwise overruled.

Motion to Strike

Request for Attorney Fees

Defendant argues there is no legal or statutory basis for an award of attorney fees. Unsupported attorneys fee allegations need not be stricken pursuant to a motion to strike, since later discovery may reveal a basis for their recovery. (Camenisch v. Superior Court (1996) 44 Cal.App.4th 1689, 1699.) However, it is within the Court's discretion to strike such an unsupported request. (See Id.) The Court denies the motion to strike.

Other Claimed Relief

Defendant argues the complaint seeks additional claims of claims of relief including restitution and disgorgement, costs or repair and compliance, loss of rental income, and equitable relief as appropriate. Defendant contends the complaint contains no basis for which these claims of relief can be granted and therefore, must be stricken. The Court disagrees. These are the damages Plaintiff claims.

The motion to strike is therefore DENIED.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.